

FM Graded Quiz M5

Question 1

According to "The Role of Housing and Mortgage Markets in the Financial Crisis.", what does the evidence suggest about the relationship between house price appreciation and subsequent defaults during the financial crisis?

- ☐ Default rates were uniformly distributed across areas regardless of prior house price appreciation
- ☐ Areas with low house price appreciation experienced the highest default rates
- ☐ House price appreciation had no significant impact on default rates



Time left:
59:29

QUESTIONS

X	X	X	X
X	X	X	X
X	X	X	X
X	X	X	X

- ☐ Areas that experienced high house price appreciation during the boom had disproportionately high default rates during the bust

Question 2

How might changes in interest rates affect the value of MBS tranches differently?

- ☐ Only the most senior tranches would be affected
- ☐ All tranches would be equally affected regardless of their position
- ☐ Interest rate changes have no effect on MBS tranches
- ☐ Junior tranches might be more sensitive to interest rate changes due to their higher risk profile

Question 3

Which of the following best describes the relationship between a borrower and lender in a non-recourse loan?

- ☐ The lender can seize any assets of the borrower in case of default
- ☐ The loan is guaranteed by a third party
- ☐ The lender can only seize the collateral specified in the loan agreement
- ☐ The borrower is personally liable for the full loan amount

Question 4

If you believe a bond has a probability of default of 15% and a recovery rate of 70% what credit spread should you require?

- ☐ 15%
- ☐ 4.50%
- ☐ 10.50%
- ☐ 21%

Question 5

Which of the following is NOT typically used as an indicator of liquidity?

- ☐ Time to execute a trade
- ☐ The bond's coupon rate
- ☐ Bid-ask spread
- ☐ Trading volume

Question 6

If a bank loans \$400,000 to a firm with a recovery rate of 60% and a probability of default of 5%, what is the expected loss?

- ☐ \$5,000
- ☐ \$8,000
- ☐ \$12,000
- ☐ \$20,000

Question 7

For a mortgage of \$1,000,000, if current mortgage rate is 11% and it is a 20 year mortgage with monthly payment, which is the closest amount t of monthly payment?

- ☐ \$9,548
- ☐ \$10,322
- ☐ \$13,265
- ☐ \$11,447

Question 8

According to "The 2007–2009 Financial Crisis: An Erosion of Ethics: A Case Study.", what new requirement did the Dodd-Frank Act impose on companies selling products like mortgage-backed securities?

- ☐ To sell mortgage-backed securities only to institutional investors
- ☐ To retain at least 5% of the credit risk unless the underlying loans meet standards that reduce riskiness
- ☐ To have the government guarantee all mortgage-backed securities
- ☐ To completely stop the creation of mortgage-backed securities

Question 9

How does credit tranching in securitization affect the risk profile of different bond classes?

- ☐ It creates a hierarchy of risk with senior tranches being less risky than junior tranches

- ☐ It eliminates all risk from the securitization structure
- ☐ It distributes risk equally among all bond classes
- ☐ It increases the risk for all bond classes equally



Question 10

According to "Determination of Default Probability By Loss Given Default", which of the following best describes a limitation of the Market LGD approach?

- ☐ It requires a long time period to calculate accurate results
- ☐ It cannot be used for instruments without a liquid market
- ☐ It overestimates losses due to including a risk premium
- ☐ It does not account for the time value of money

Question 11

According to "Introduction to Credit Risk Management", a 5-year CDS has a notional principal of €200 million and a spread of 120 basis points per year. If no default occurs what is the total amount

the buyer will pay
over the life of the
contract?

- ☐ €2.4 million
- ☐ €14 million
- ☐ €10 million
- ☐ €12 million



Question 12

According to "Liquidity, Credit Risk and Pricing of Corporate Bond", how might a researcher best address the limitations of existing liquidity measures for corporate bonds?

- ☐ Develop a composite measure incorporating multiple liquidity proxies
- ☐ Ignore liquidity and focus only on credit risk
- ☐ Use only bid-ask spreads as they are the most reliable measure
- ☐ Rely solely on trading volume data

Question 13

If a bank has a loan with an EAD of \$1,000,000, a PD of 3%, and an LGD of 45%, what is the expected loss?

- ☐ \$11,000
- ☐ \$30,000

☐ \$13,500☐ \$45,000

Question 14

In a securitization structure with three tranches (Senior, Mezzanine, Equity) each with \$100 million per value if there are \$150 million in losses how much will Mezzanine tranche lose?

☐ \$100 million☐ \$50 million☐ \$150 million☐ \$0 million

Question 15

According to "Do House Prices Influence Stock Prices? Empirical Investigation from the Panel of Selected European Union Countries.", what policy implication does the study suggest based on its findings?

- ☐ There is no need for policy intervention as house prices and stock prices are not significantly related
- ☐ A strong policy framework is needed to manage both inflationary and deflationary periods, as house prices and stock prices are highly volatile
- ☐ Policymakers should focus exclusively on stimulating the housing market to boost stock prices
- ☐ Policymakers should always implement tight economic policies to control house prices and boost stock prices

Question 16

How does time tranching in MBS structures address prepayment risk?

- ☐ By prohibiting borrowers from prepaying their mortgages
- ☐ By eliminating prepayment risk entirely
- ☐ By increasing interest rates for all tranches
- ☐ By allocating prepayments to different tranches based on their expected maturities

SUBMIT

